INVESTMENT
TEAM

National Stock Exchange (NSE)

IPO Analysis

By - Antriksh Goenka
Equity Research Analyst, Investment Team

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1. Executive Summary

The upcoming Initial Public Offering (IPO) of the National Stock Exchange of India (NSE) is arguably the most anticipated capital market event in the country's history. Operating as a near-monopoly in the equity derivatives (F&O) segment and dominating the cash market, NSE is not just a trading platform but rather a centre part of India's economic growth and the primary beneficiary of the country's unprecedented financialization of savings. As millions of retail investors transition from traditional assets like gold and real estate into equities, NSE stands positioned as the ultimate toll-bridge business.

1.1 An Unmatched Moat with Exceptional Profitability

Fundamentally, NSE operates a highly scalable, zero-marginal-cost technology platform that yields an operating profile ranking among the most profitable businesses globally.

- **Hyper-Profitability:** In FY26, the exchange delivered a staggering EBITDA margin of 87.5%, generating an EBITDA of ₹14,519 crores.

- **Cash Generating Machine:** It recorded a Profit After Tax (PAT) of ₹10,302 crores on operating revenues of ₹16,601 crores.

Because the technological infrastructure is already built and amortized, every incremental trade executed on the exchange directly adds up in the profit creating negligible marginal cost, creating a financial moat that is nearly impossible for competitors to breach.

1.2 The Offer

The IPO is structured as a 100% Offer for Sale (OFS) of up to 14.89 crore shares (a ~6% stake) at face value of ₹1 each by existing shareholders, meaning no fresh capital will be raised. While its closest domestic peer, BSE, currently trades at a heavy ~49.6x Price-to-Earnings (P/E) multiple due to its smaller base and high percentage growth in the future, we anticipate investment bankers will price NSE at a lower P/E than that of BSE because of its less growth and already developed position in the market.

Under Regulation 45 of the Securities Contracts (Regulation) (Stock Exchanges and Clearing Corporations (SECC) Regulations, 2018, NSE cannot list on its own platform. It will list on BSE rather than NSE and BSE both.

1.3 Snapshot: Our Call on the IPO

Short-Term (Listing Gain) Recommendation	**Risky** Avoid for pure listing-gain plays
Long-Term (Multi-Year) Recommendation	**Favourable** Attractive as a compounding, dividend-yielding holding
Subscribe / Not Subscribe	**SUBSCRIBE** Good for long-term investors
Predicted IPO Price Band	₹1,548 - ₹1,754 per share
Implied Listing-Day Reference Price	₹2,050 (tracking BSE's P/E / current unlisted price)
Implied P/E Multiple (at issue)	37x - 42x
BSE (Peer) P/E for Reference	~49.6x - 65x
Estimated Listing-Day Gain (base case)	12.50% (if priced toward BSE's multiple)

2. Key Facts to Remember

2.1.The IPO Date is Still Just a Rumor

While there is a lot of excitement and news articles suggesting the NSE IPO will happen in September 2026, nothing is officially confirmed. It is still just speculation, and it might not even happen this month.

2.2.The 6-Month Lock-in Rule

If you decide to buy unlisted shares of NSE right now, you must be aware of the lock-in period. You will not be allowed to sell those shares on the listing day. You have to wait for a mandatory 6 months before you can sell those shares thus effectively risking your potential listing gains on the ipo.

2.3.Unlisted Price vs. Actual IPO Price

People often buy unlisted shares out of Fear Of Missing Out (FOMO), thinking they are getting a guaranteed allotment. However, we warn that this is risky as we don't know what investment bankers will price it. We prove it by having 4 examples (SBI Funds Management, HDB Financial Services, NSDL, and Tata Capital).

For all of these famous companies, the final IPO price ended up being 20% to 70% lower than the price they were trading at in the unlisted market a year prior. We request investors to keep this huge discount in mind before rushing to buy unlisted NSE

Also whatever the unlisted price is between September 2025 and September 2026, you should expect the actual IPO price to be much lower.

Four historical examples:

- **SBI Funds Management:** Unlisted price ~₹800 | IPO price ₹574 (30% lower)
- **HDB Financial Services:** Unlisted price ~₹1,200 | IPO price ₹740 (40% lower)
- **NSDL:** Unlisted price ₹1,025 - ₹1,275 | IPO price ₹800 (20-35% lower)
- **Tata Capital:** Unlisted price ₹735 - ₹1,125 | IPO price ₹326 (56-71% lower)

Source - https://www.youtube.com/live/9tw-MIxbryo?si=I5c3QMBPRKUnCPkC

3. Issue Details & IPO Mechanics

3.1 The Largest IPO in Indian History

The upcoming NSE public issue is positioned to shatter records as the largest Initial Public Offering in Indian capital market history by raising an approximate capital of ₹30,000 crore succeeding only to IPO of Hyundai Motors which raised ₹27,870 crore. However, it is vital to understand the structural mechanics of the offering: the IPO is a 100% Offer for Sale (OFS). The exchange itself is not raising a single rupee of fresh capital. Instead, the issue consists entirely of a secondary market sale of up to 14.89 crore shares, representing approximately a 6% equity stake in the company.

3.2 A "Liquidity Change" Event, Not a "New Liquidity" Event

Because there is absolutely no fresh issue of shares, this IPO should be viewed strictly as a liquidity change event rather than a new liquidity event. From a balance-sheet perspective, the total share capital and the intrinsic liquidity of the company remain exactly the same. The capital raised does not go into NSE's corporate bank account to fund operations or expansion. The transaction facilitates a transfer of ownership from existing private shareholders to public market investors. This OFS is mainly an exit for their shareholders that have their liquidity tied to the company for years potentially expecting (100x-1000x) returns on their original invested capital. Apart from offer for sale, the company goes to public markets for better price discovery and public ownership.

3.3 Key Sellers

The massive Offer for Sale is primarily driven by early institutional backers looking to monetize their very old investments by divesting their stake. State Bank of India (SBI) and its subsidiary SBI Capital Markets lead the pack by offloading approximately 2.47 crore shares, followed closely by Bank of Baroda offloading 1.1 crore shares. They are joined by foreign private equity and institutional backers such as CPPIB, Morgan Stanley affiliates, and Temasek-backed Aranda Investments who are utilizing this liquidity window to execute a standard VC/PE exit and realize spectacular returns.

3.4 Non-Sellers

Life Insurance Corporation of India (LIC). Despite being one of NSE's largest early shareholders, LIC has strategically opted out of the OFS to retain its massive stake. LIC holds a 10.72% stake and not selling does not mean that they have a hope of great returns on the stock but rather

NSE is an asset light monopoly that generates incredible free cash flow and pays out highly lucrative dividends, LIC prefers to hold the exchange as a perpetual "cash cow" to consistently fund its own long-term insurance payout obligations rather than cashing out for a one-time gain. So as an investor you should not take your investment decisions whether a QIB has held a stake or not.

DETAILS OF THE OFFER FOR SALE BY THE TOP 10 SELLING SHAREHOLDERS			
NAMES OF THE SELLING SHAREHOLDERS**	TYPE	MAXIMUM NUMBER OF EQUITY SHARES OFFERED/ AMOUNT (IN ₹ MILLION)	WEIGHTED AVERAGE COST OF ACQUISITION PER EQUITY SHARE (IN ₹)*
State Bank of India	Corporate Selling Shareholder	Up to 24,750,000 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	0.80
MS Strategic (Mauritius) Limited	Corporate Selling Shareholder	Up to 16,000,000 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	66.54
Canada Pension Plan Investment Board	Corporate Selling Shareholder	Up to 11,874,060 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	324.13
Aranda Investments (Mauritius) Pte Ltd	Corporate Selling Shareholder	Up to 11,246,336 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	62.38
Bank of Baroda	Corporate Selling Shareholder	Up to 10,986,250 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	0.54
Stock Holding Corporation of India Limited	Corporate Selling Shareholder	Up to 10,890,000 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	0.46
General Insurance Corporation of India	Corporate Selling Shareholder	Up to 10,658,000 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	5.26
The New India Assurance Company Ltd.	Corporate Selling Shareholder	Up to 10,500,000 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	0.32
National Insurance Company Limited	Corporate Selling Shareholder	Up to 6,000,000 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	0.32
United India Insurance Company Limited	Corporate Selling Shareholder	Up to 6,000,000 Equity Shares of face value of ₹1 each aggregating to ₹ [●] million	0.50

As certified by Manian & Rao, Chartered Accountants (FRN: 001983S), by way of their certificate dated June 17, 2026.
***For a complete list of the Selling Shareholders and details of their weighted average cost of acquisition per Equity Share, see "Annexure A" of this Draft Red Herring Prospectus on page 569.*

Source- https://www.nseindia.com/static/investor-relations/offer-documents

4. Company Overview & Market Dominance

4.1 The Backbone of the Indian Financial System

The National Stock Exchange of India (NSE) is the absolute backbone of the Indian financial ecosystem serving as a marketplace across equities, derivatives, debt, and currency segments, NSE is a fully integrated market infrastructure institution. Supported by critical subsidiaries like NSE Clearing (NCL), NSE Indices, and NSE Data & Analytics, the exchange effectively controls the entire lifecycle of a trade from price discovery and matching to post-trade settlement.

4.2 Unmatched Technological Scale & Domestic Dominance

At its core, NSE is a technology powerhouse. Its proprietary matching engine processes up to 21.89 billion peak order messages daily (>5 million messages per second) across a digital network covering 99% of India's PIN codes. This unmatched scale drives a domestic near-monopoly: NSE commands an 88.42% market share in cash equities, ~100% in futures, and 66% in options premium turnover.

This dominance converts directly into a highly concentrated revenue machine. In FY26, Transaction Charges accounted for 78.65% of total operating revenue. Breaking down this transaction reveals a heavy reliance on derivatives: Options contribute a massive 77% of trading fees, followed by Cash Equities (12%) and Futures (11%). Beyond daily trading, NSE also generated 2.12% of its revenue from Listing Services. Serving as India's premier venue for liquidity addition, the exchange facilitated roughly ₹5 trillion in IPOs during FY26, adding a sticky, recurring layer to its revenue moat.

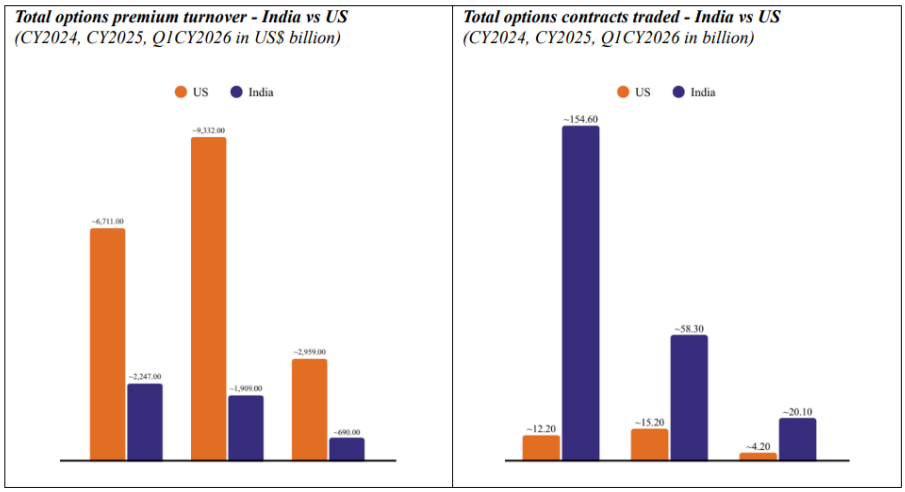
4.3 A Global Heavyweight

On the international stage, NSE's sheer volume of activity eclipses many of its developed-market peers. Driven by India's retail participation boom and algorithmic trading, NSE ranks #1 globally in equity derivatives by the number of contracts traded (over 36.99 billion contracts in FY26), capturing an astonishing 51.18% global market share in pure volume. Furthermore, the exchange ranks #3 worldwide in the number of cash equity trades (holding an 11.38% global share).

However, this global dominance requires a deep understanding. NSE's leadership in contract count is heavily driven by significantly smaller contract lot sizes relative to developed markets. For instance, a single lot of a US S&P 500 (SPX) index option is approximately 37 times larger in notional value than a standard Nifty 50 contract. As a result, while India generates roughly five

times the option contract volume of the US, the actual underlying premium value traded is only about one-fourth of the US market. Nonetheless, even adjusting for these smaller ticket sizes, these metrics firmly place NSE among the top 15 exchanges globally by overall trading activity, acting as the ultimate high-frequency gateway for both domestic savings and foreign institutional capital entering India.

Exhibit 28: In comparison to USA, India is far behind in terms of premium turnover for options' contracts



Operational Highlights (Consolidated)

ADTV[1] in Cash Market segment (₹ in crore)

FY26	**1,05,517**
FY25	1,12,963
FY24	81,721

ADTV[1] in Equity options segment – premium turnover (₹ in crore)

FY26	**57,662**
FY25	62,449
FY24	61,779

ADTV[1] in Equity futures (₹ in crore)

FY26	**1,59,443**
FY25	1,85,901
FY24	1,34,000

Listed Entities on Exchange

FY26	**2,978**
FY25	2,719
FY24	2,438

Source- https://www.nseindia.com/static/investor-relations/annual-reports (34th annual report)
https://www.nseindia.com/static/investor-relations/offer-documents

5. Macro-Economic & Industry Tailwinds

5.1 The Financialization of Indian Savings

NSE is the ultimate beneficiary of a massive, structural shift currently unfolding in the world's fastest-growing major economy. Historically, domestic wealth was heavily tied up in physical assets like real estate and gold, or parked in low-yielding bank deposits due to conservative nature of wealth preservation of Indian families.

Today, India is undergoing a rapid "financialization of savings." Driven by improved financial literacy and the mainstreaming of digital investing primary due to advertisements and news, an entirely new generation of Indians is decisively moving capital away from cash and physical assets and reallocating it toward equities, mutual funds, ETFs, and retirement products to achieve more returns relative to risk taken.

According to NSE's FY26 Annual Report, Indian household allocation towards equities and mutual funds has exploded from just 5.41% of net financial assets in FY21 to a staggering 26.89% by FY25.

Systematic investment plan (SIP) contributions rising to ~₹3.50 lakh crore and demat accounts expanding to 22.45 crore represents a multi-trillion-rupee structural tailwind flowing directly into NSE's ecosystem.

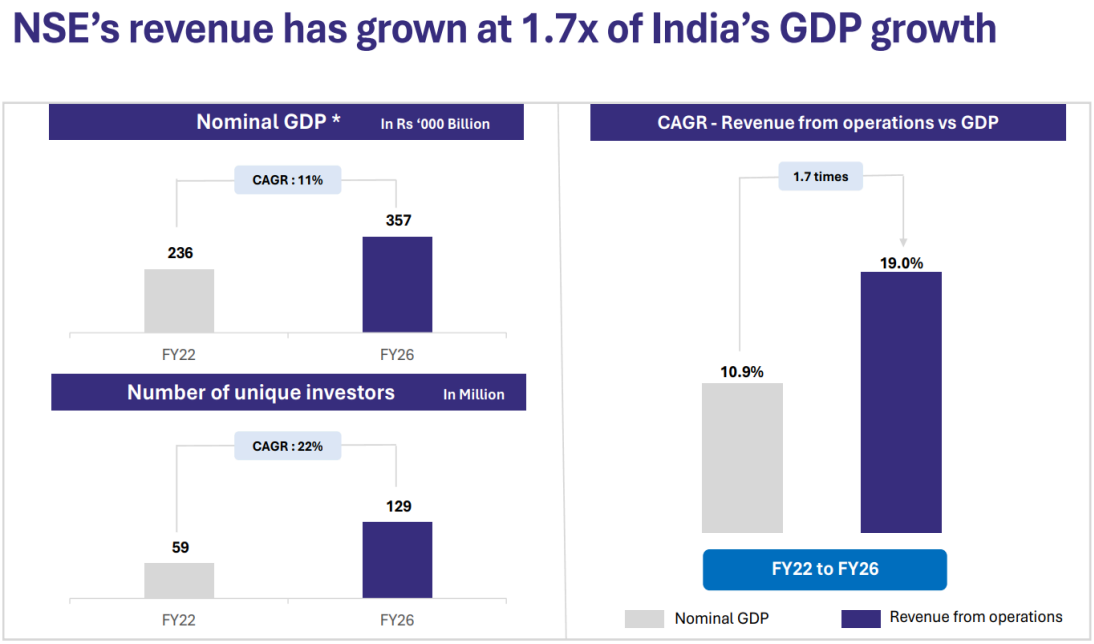
5.2 The Explosive Retail & HNI Boom

According to NSE's own metrics, the number of unique registered investors on the exchange more than doubled in just four years, surging from 59 million in FY22 to 129.09 million by FY26 (a 22% CAGR). Furthermore, High Net Worth Individuals (HNIs) and family offices have become a big force, actively taking market supply and creating a deep domestic buying to foreign selling which is saving our markets. As a result, the Indian cash market has seen its turnover expand roughly 6x over the last decade, hitting a staggering ₹280.26 trillion in Fiscal 2026.

5.3 Outpacing the Economy

Growth in the capital markets is structurally tied to India's nominal GDP growth, which expanded at a healthy 11% CAGR between FY22 and FY26. However, because of the powerful network effects where deeper liquidity attracts more participants, which in turn creates even deeper liquidity exchange activity scales exponentially. Remarkably, NSE's revenue from operations has compounded at a 19.0% CAGR over the same period, meaning it is growing at

roughly 1.7X the rate of India's overall GDP. Furthermore, this growth is supported by global capital, FPI's total assets under custody (AUC) in India have consistently marched upward, rising by over 55% from ₹44.63 trillion in March 2021 to ₹69.57 trillion in March 2026. Even when FPIs turn net sellers, the total value of outflows is small compared to the scale of assets they hold in India.



Source- https://www.nseindia.com/static/investor-relations/presentations

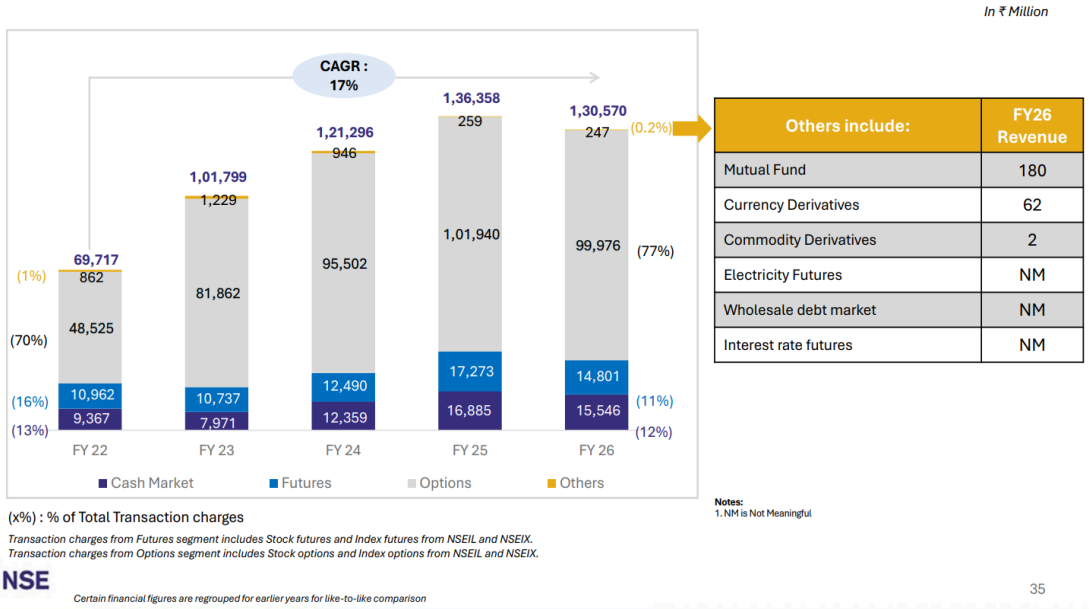
6. Business Model & Revenue Moat

6.1 The Ultimate Toll-Bridge Business

NSE operates a vertically integrated, toll-bridge business model, NSE's product is its matching servers. NSE acts as a toll bridge because every time a trade is executed, a millisecond of data is consumed, or a company goes public, NSE collects a fee. This creates an exceptionally sticky revenue source.

6.2 Transaction Charges

The overwhelming majority of NSE's income is tied directly to market activity(transaction). In FY26, Transaction Charges constituted 78.65% of its operating revenue. However, a deeper look reveals an intense concentration in the derivatives market. The Options segment is the undisputed leader, generating a massive 60.22% of total exchange revenue. In contrast, traditional Cash Equities contribute just 9.36%, and Futures add 8.92%. This reliance on options premium turnover is highly lucrative during bull markets but leaves the exchange somewhat sensitive to shifting retail trading volumes which acts as a major risk factor for the exchange.



Source- https://www.nseindia.com/static/investor-relations/presentations

6.3 Data, Co-location, and Technology

To save itself from the cyclicality of trading volumes, NSE has expanded its "non-transaction" revenues. Learning and taking inspiration from global peers like Nasdaq and the London Stock Exchange, NSE monetizes its proprietary market data. Revenue from Data Connectivity (6.80%), Data Feeds/Terminals (2.83%), and Co-Location Rack Charges (1.24%) combined form nearly 11% of total revenue.

Co-location is particularly sticky: High-Frequency Trading (HFT) firms and algorithmic traders pay an immense premium to physically place their servers inside NSE's data centers, gaining microsecond advantages. Once a firm relies on NSE's low-latency data, they loss due time so that creates a highly profitable revenue stream for them. But this same thing made its IPO delay by 10 years because of the "Dark Fibre" case.

6.4 Listing, Risk Management, and Intellectual Property

Beyond core trading and data, NSE captures value across the entire capital market lifecycle through its listing, clearing, and licensing arms. Contributing 2.12% of total revenue, Listing Services act as a proxy for India's corporate growth proven by roughly ₹5 trillion raised via IPOs in FY26, this segment provides steady, predictable cash flows regardless of daily secondary market turnover volatility. Once trades occur, NSE Clearing (NCL) acts as the system's ultimate risk manager generating 1.51% of revenue. By inserting itself as the central counterparty, NCL clears ~88% of all cash trades and 91% of equity derivatives, backed by a Core Settlement Guarantee Fund (SGF) of over ₹13,079 crores to ensure market trust.

Finally, NSE passively monetizes its intellectual property through Index Licensing (0.91% of revenue). As passive investing explodes in India, mutual funds and ETFs must pay to use the NIFTY brand, the fact that AUM of passive funds linked to Nifty indices surging from ₹6.30 trillion in FY24 to ₹8.14 trillion in FY26 tells its brand value.

Consolidated Revenue Mix (%)



Transaction Charges	70
Listing Services	2
Data Centre and Connectivity	7
Data Feed and Terminal Services	3
Index Licensing and Data Subscription Fees	1
Clearing and Settlement Fees	1
Operating Investment Income	4
Other Operating Income	1
Non Operating Income	11

Share of revenue streams in total exchange revenue

Share in total exchange revenue

<5% >10%

Revenue Streams	Indian Exchanges	Global Exchanges
Transaction Charges	>10%	>10%
Listing Services	<5%	5-10%
Data Centre - Rack Charges and Data Connectivity Charges	5-10%	5-10%
Data Feed and Terminal Services and Index Licensing & Data Subscription Fees	<5%	>10%
Clearing and Settlement Services	<5%	>10%

Source -
https://thedailybrief.zerodha.com/p/the-company-behind-every-trade-in?r=5svwvn&utm_medium=ios&triedRedirect=true
https://www.nseindia.com/static/investor-relations/annual-reports

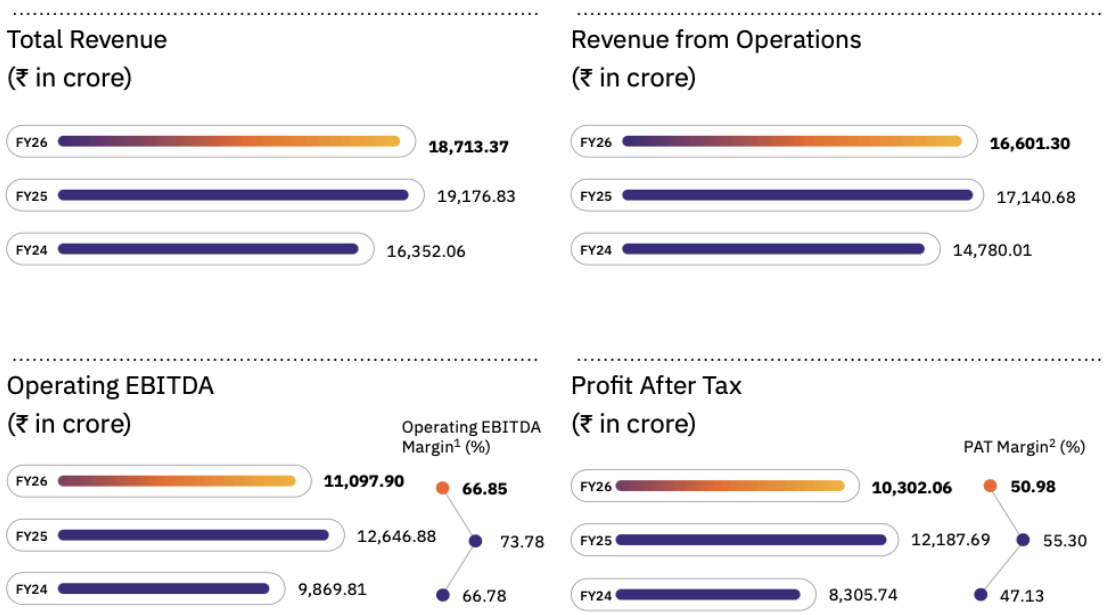
7. Financial Analysis & Key Insights (FY22 - FY26)

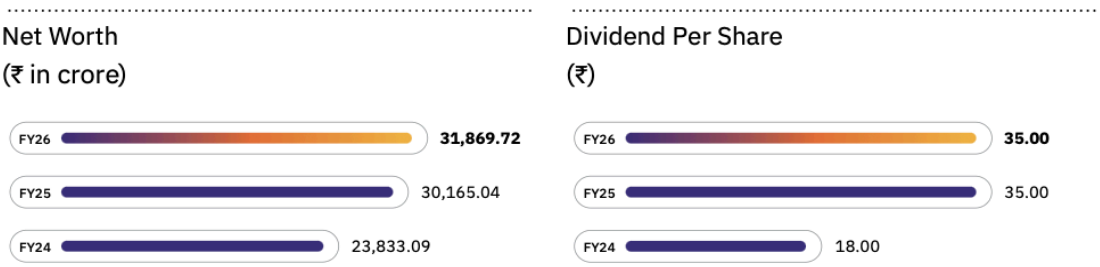
7.1 Financial performances

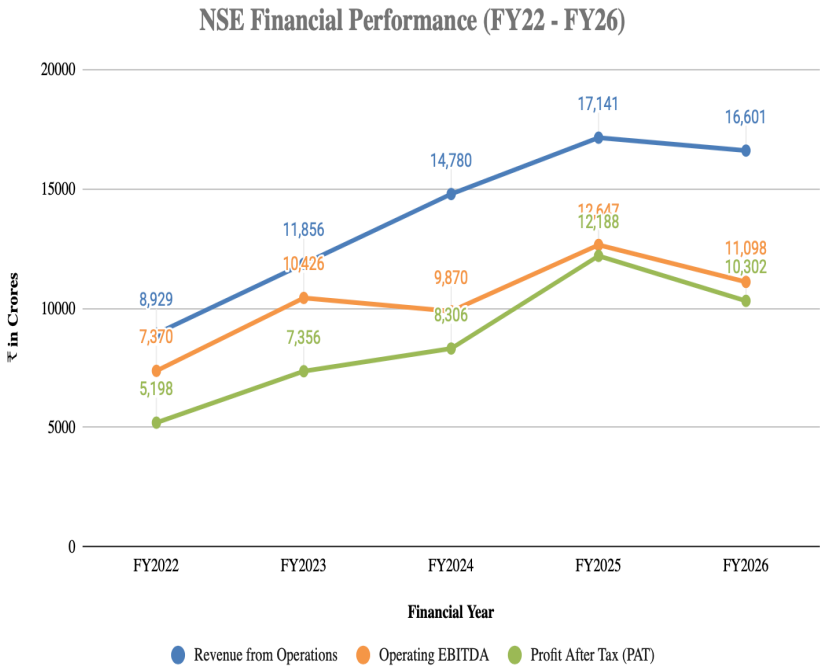
Over the broader 5-year cycle, NSE's revenue growth has been spectacular. However, a look at the recent revenue reveals a critical issue that growth has temporarily slowed down. Operating revenue dipped slightly from its FY25 peak of ₹17,140 crores down to ₹16,601 crores in FY26.

Similarly, Profit After Tax (PAT) contracted from ₹12,187 crores to ₹10,302 crores over the same period.This margin and profit compression is due to harsh regulatory environment. In FY26 alone, NSE paid nearly ₹2,040 crores in settlement fees to SEBI (including the ₹1,400 crore "TAP matter" settlement).

Furthermore, SEBI's tightening of the equity index derivatives framework which included increased contract sizes and upfront premium collections that moderated trading volumes(cooled speculations by the retail). As Transaction cost is the major source of revenue a slight change in volume directly affects NSE. Investors must price NSE as an absolute cash-printing monopoly with a growth rate tied to India's macro-economy and the regulatory environment.







Source- https://www.nseindia.com/static/investor-relations/annual-reports

Detailed Excel Sheet Link

7.2 Very high Profitability

Despite the FY26 regulatory headwinds, NSE's core profitability remains staggering. The exchange boasts a Normalised Operating EBITDA margin consistently hovering between 76% and 78%. NSE is an ultra-lean software company. Out of ₹16,601 crores in revenue, NSE spends a mere ₹700 crores on its employees (under 5% of revenue). Instead, majority capital is deployed directly into the technology part. In FY26, NSE spent roughly ₹1,700 crores on technology operations and IT capital expenditures (representing almost three-fourths of its entire capex). An even larger share of NSE's spending goes to SEBI and its settlements. It pays the regulator a regular fee based on trading turnover, which came to about ₹800 crore in FY26.

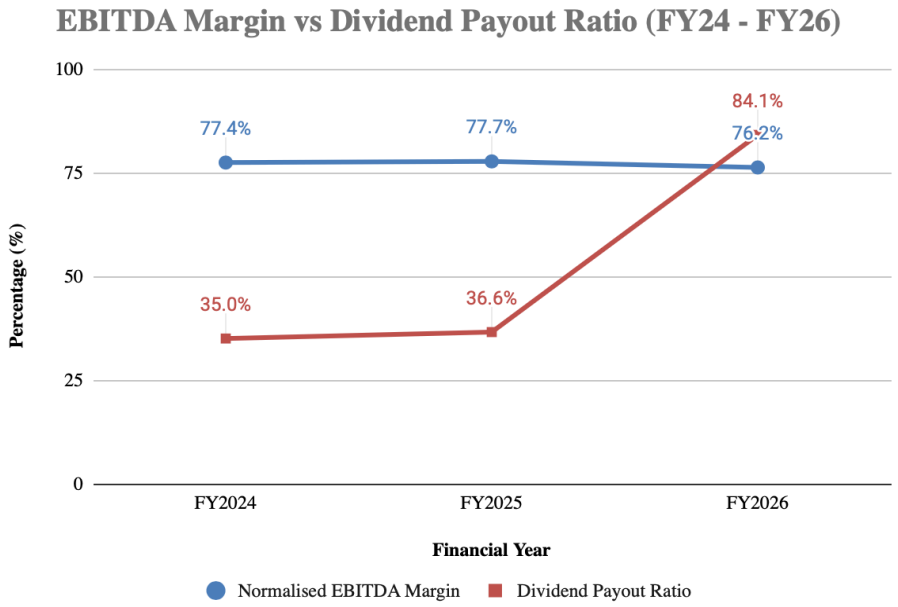
The larger expense, however, was its *settlement* fees, which gets a separate line in its statements. These are effectively regulatory fines.

Because NSE operates an asset-light, technology-first business, it requires very little marginal capital to maintain its operations. Furthermore, because the regulator (SEBI) tightly controls what new products NSE can launch or which companies it can acquire, the exchange struggles to actively reinvest its profits. As a result, the money that comes in goes straight back out to shareholders in the form of dividends. In FY26, NSE earned roughly ₹10,300 crores in profit and paid out a massive ₹8,660 crores as dividends- 84% payout ratio. Even after distributing nearly all its profit, NSE sits on a very big balance sheet with ₹64,771 crores parked in investments. For institutional investors, NSE acts as a safe probable cash flow company.

NSE technology expenses and capital expenditure

₹ in million unless otherwise specified

Particulars	Fiscal 2026	Fiscal 2025	Fiscal 2024
Technology-related operating expenses			
Technology expenses[1]	13,145.75	10,218.61	7,861.71
As a percentage of revenue from operations	7.92%	5.96%	5.32%
Technology-related capital expenditure			
IT capital expenditure[2]	4,220.26	4,931.61	4,366.00
IT capital expenditure as % of total capital expenditure	71.94%	81.85%	92.02%
Total capital expenditure[3]	5,866.37	6,025.19	4,744.47



Source- https://thedailybrief.zerodha.com/p/the-company-behind-every-trade-in?r=5svwvn&utm_medium=ios&triedRedirect=true

7.3 Capital Efficiency and subsidiary cash burn

Beyond its operating margins, the true strength of NSE's balance sheet is proved through its very high capital efficiency. Even after the regulatory-driven profit dip in FY26, the exchange delivered a staggering Return on Equity (ROE) of 32.98% and a Return on Capital Employed (ROCE) of 42.80% (dropping slightly from their FY25 peaks of 44.87% and 52.11%). Generating return ratios this high is particularly impressive given that NSE effectively have a massive, low-yielding treasury investment book of ₹64,771 crores however, this cash acts as a powerful corporate hedge, generating ₹1,929 crores in purely passive investment income in FY26 that is completely insulated from daily trading volatility.

Also Management is deliberately absorbing short-term subsidiary losses to secure its long-term global revenue and market share. The exchange has spent ₹750 crores into its GIFT City international exchange (NSEIX) alongside a ₹250 crore into the NSE IFSC Clearing Corp, this cash burn is designed to establish a critical offshore trading gateway and combat the flight of international capital from the Indian markets due to global pressure and AI stocks.

Source- https://www.nseindia.com/static/investor-relations/offer-documents

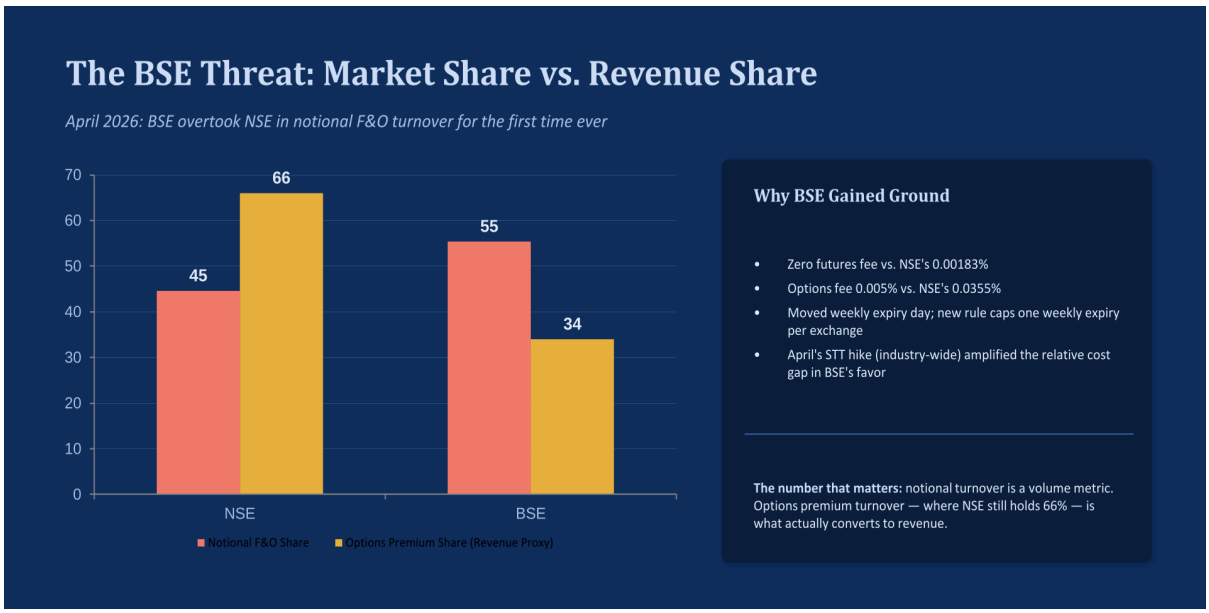
8. Peer Benchmarking & Valuation

8.1 Fundamental difference in BSE and NSE

BSE is NSE's only listed domestic peer and the exchange on which NSE itself must list, since a stock exchange cannot list on its own platform trades at a trailing P/E near 65x, against NSE's implied 35-40x at the reported issue size, despite NSE generating roughly 3.4 times BSE's revenue and about 4 times its profit, with far greater dominance across segments.

NSE's FY26 profit of ₹10,302 crore compares with BSE's FY26 profit of ₹2,334 crore close to 4.4 times higher. That valuation gap isn't an efficiency issue but rather a comparison between big and growth companies. BSE's profit after tax grew roughly 88% YoY in FY26 with a three-year profit CAGR near 124%, driven largely by gains in Sensex weekly options, where BSE's notional F&O market share has reportedly climbed toward 44% against NSE's 56%. NSE, meanwhile, is the steady, dominant position whose profit actually declined in the same year.

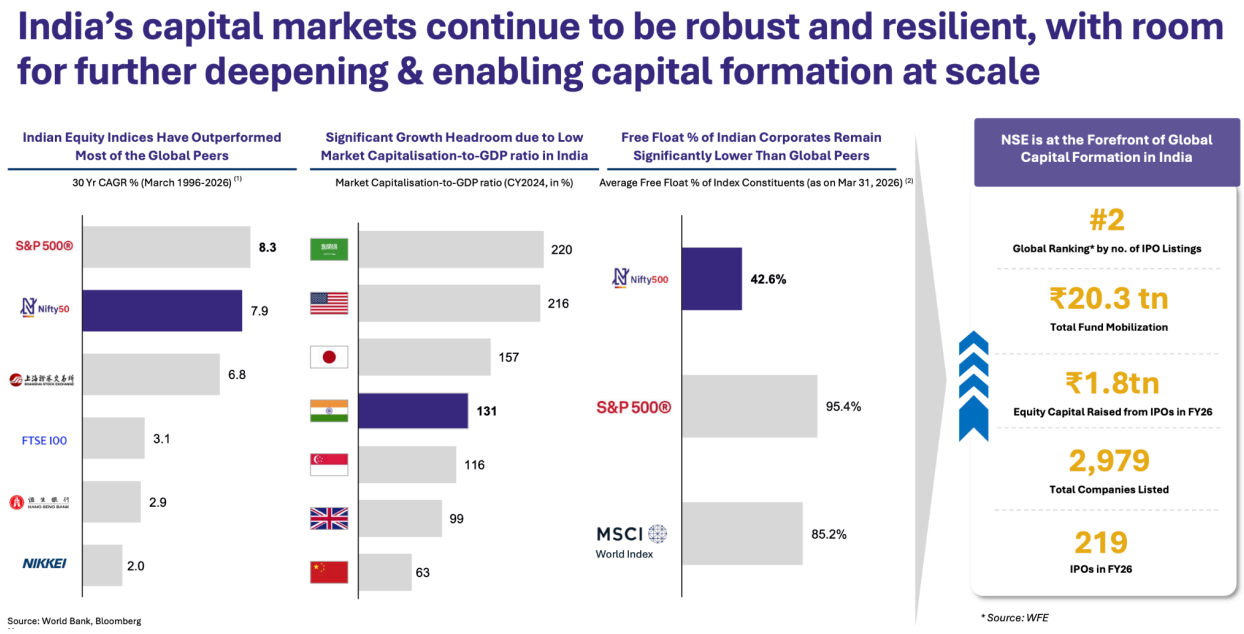
The market appears to be paying a growth premium for BSE and a stability-and-scale premium for NSE and the IPO will be the first real public test of how investors weigh those two qualities against each other.



Source - https://www.linkedin.com/posts/thirupathi-n_nse-ipo-ugcPost-7477179838852677632-MZ3N?utm_medium=ios_app&rcm=ACoAAFEsr8gBcYj3YSvWqtkfekZtfnXeKr6_c5c&utm_source=social_share_send&utm_campaign=whatsapp

8.2 Global peer comparison

When benchmarking against big international companies like the CME Group (typically trading at ~24x P/E), Intercontinental Exchange/ICE (~30x P/E), and Nasdaq (~33x P/E), a distinct structural divergence occurs in how earnings are valued. Today, global exchanges have largely pivoted into "data and analytics" companies to diversify the revenue for instance, following the London Stock Exchange's acquisition of Refinitiv, the vast majority of its revenue is now entirely independent of daily trading volumes. In contrast, NSE still derives roughly 79% of its revenue directly from market transaction charges. Normally, a transaction-heavy business model should command a lower multiple due to market cycle.However, NSE rightfully commands a distinct premium over its global peers justifying a ~38x to 42x multiple due to its unmatched sheer volume and emerging market growth rate tied to India. Institutional investors are willing to pay the premium for direct exposure to a monopoly operating in a country with an 11% nominal GDP growth rate and a retail investor base compounding at a 22% CAGR.



Source- https://www.nseindia.com/static/investor-relations/presentations

8.3 Basis for Offer Price

According to DRHP filing of NSE, Basis for offer price will be based on NSE providing a deeply liquid marketplace for all stakeholders, proven by a strong brand that is equivalent with trust, efficiency, and transparency across its trading, clearing, settlement, and supervisory roles. This dominance is driven by a track record of delivering comprehensive and innovative offerings through a vertically integrated business model, all powered by a cutting-edge technology platform made for immense scale and exceptional resilience. Ultimately, this robust

infrastructure comes together into a rare combination of massive scale, sustained growth, high profitability, and huge cash generation, all guided by an experienced, highly skilled management team that is deeply committed to upholding the highest standards of corporate governance.

Quantitative factors as listed by NSE

1. Basic and diluted earnings per Equity Share ("EPS"), adjusted for changes in capital
2. Price/Earning ("P/E") ratio in relation to Price Band of ₹[●] to ₹[●] per Equity Share:
3. Industry Peer Group P/E ratio
4. Return on Net Worth ("RoNW").
5. Net Asset Value ("NAV") per share (Face value of ₹ 1)
6. Comparison of Accounting Ratios with listed industry peers.
7. Key Performance Indicators ("KPIs")

Source- https://www.nseindia.com/static/investor-relations/offer-documents

8.4 What will be the final IPO price?

To arrive at the final listing price, we must factor in the standard investment banking rule:- leaving money on the table for incoming investors.

If NSE were to list at parity with BSE's ~49.6x multiple based on its FY26 EPS of ₹41.62, the share price would clear ₹2,064 and would be too perfect, any drop in sales/profit can badly hurt the share price which the bankers don't want. However, factoring in NSE's massive scale and applying a conservative 15% to 25% IPO discount to ensure heavy oversubscription and conservative valuation. For the upper band we arrive at an implied listing multiple of roughly 42.15x P/E by discounting 15%. 42.8x P/E multiplied by the FY26 EPS of ₹41.62 yields an upper-band target of ₹1,754.

For the lower band we discount the 49.6x P/E by 25% which yields 37.2x P/E. 37.2x P/E multiplied by EPS of ₹41.62 gives ₹1,548 lower band target.

The Prediction: We predict a final IPO price band of ₹1,548 to ₹1,754 per share on basis of BSE's valuation which factors in huge growth so band price can be less but at final listing day the share price might touch around BSE's P/E which matches with current unlisted share price of ₹2,050.

Source- Detailed Excel Link
IPO discount excel sheet
https://unlistedzone.com/shares/nse-india-limited-unlisted-shares
https://enduranceadvisory.com/stories-of-impact/white-papers/ipo-valuation/

9. Future Outlook & Strategic Pivot

9.1 The Monopoly's Dilemma: How to Grow from Here?

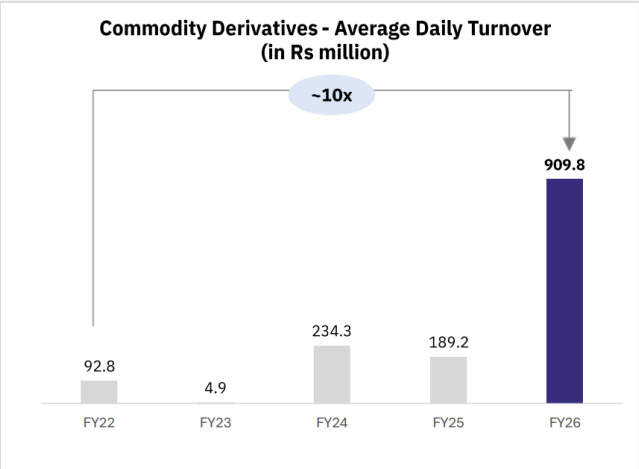
When an exchange already controls ~90% of a country's equities and equity derivatives, traditional domestic growth inevitably hits a ceiling. The market naturally asks: how does a monopoly continue to grow? For NSE, the strategic pivot over the next decade relies on three distinct pillars: launching entirely new asset classes, capturing offshore international capital, and scaling its non-transaction "data" revenues.

9.2 Energy & Commodities

To expand its addressable market, NSE is moving beyond purely financial instruments and actively financializing India's critical physical economy.

- **The Energy Pivot:** In FY25, 206.20 BU moved through short-term mechanisms such as the Day-Ahead, Term-Ahead and Real-Time Markets and OTC trade where prices moved through volatile, unhedged short-term trading. To capture this, NSE has launched Electricity Futures. Furthermore, in April 2026, it partnered with the Indian Gas Exchange (IGX) to launch Natural Gas derivatives.

- **The Coal Exchange:**In a massive strategic move, NSE received SEBI approval on April 17, 2026, to form the National Coal Exchange of India, ready to take a 60% stake with a ₹100 crore through initial capital investment. By creating an electronic spot market for coal, NSE is positioning itself as the undisputed benchmark for India's energy commodity market exchange.



New Products		
NSE Electricity Futures*	72% Market share	Rs 111 billion Turnover in FY26
Crude Oil	• Strategic Collaboration with S&P Global Energy to launch Derivatives on Platts Benchmarks	
Natural Gas	• NSE, IGX join hands to bring India's first domestic benchmarked Energy derivatives contract	
Coal	• Capital Infusion of Rs 100 crore in subsidiary • SEBI Approval received	
Bullion	• Launched Gold 10 gm Futures with smaller lot size in Q4FY26 • Recently launched Electronic Gold Receipts (EGRs) as a new segment	

Source - https://www.nseindia.com/static/investor-relations/presentations

9.3 Offshore Capital via GIFT City

Foreign investors often prefer to trade Indian markets through global financial hubs like Singapore or Dubai. To bring that business back home, NSE has invested ₹750 crore to build its own international exchange called NSEIX located in GIFT City, Gujarat. This project is already a massive success. In FY26, total trading on NSEIX crossed the US$1 trillion mark. A major driver of this growth was the newly launched "Gift Nifty," which hit a record US$23.48 billion in trades on a single day in February 2026. By partnering with global exchanges (like Singapore's SGX) and attracting international listings, NSE is successfully ensuring that foreign money flows directly into its own ecosystem rather than going overseas.

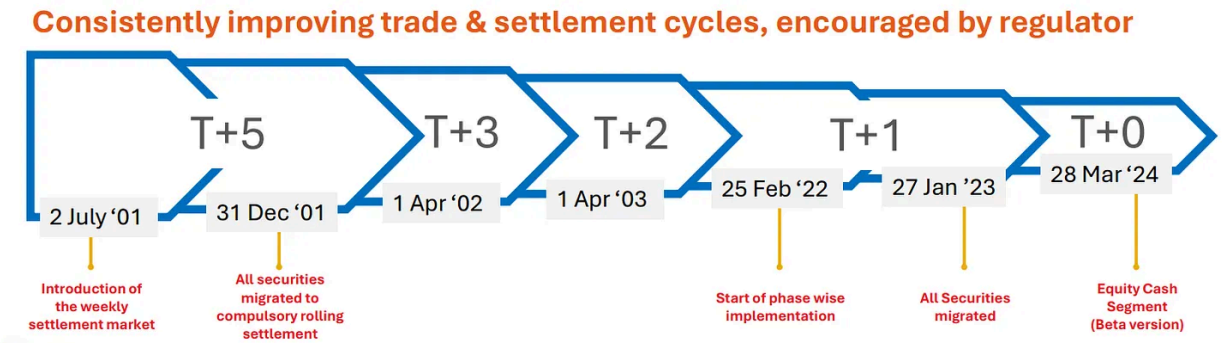


Source- https://www.nseindia.com/static/investor-relations/presentations

9.4 Data, Indices, and Next-Gen Technology

Much like global peers such as Nasdaq and the London Stock Exchange, NSE is actively future-proofing its business by pivoting toward recurring, non-transaction revenues. The main part of this strategy is Index Licensing as retail investors flood money into passive mutual funds and ETFs, asset managers must pay licensing fees to NSE to track its benchmarks, a tailwind that pushed the AUM of passive funds linked to Nifty indices to a massive ₹8.14 trillion in FY26. Coupling this licensing boom with high-margin Data Analytics and Co-location services will help NSE build a stable revenue base entirely immune to daily market volatility.The exchange is

currently trying to do industry pilots for T+0 settlement effectively moving toward real-time capital markets.



Source- https://www.nseindia.com/static/investor-relations/presentations

10. Key Risk Factors

10.1 The F&O Regulatory oversight

The single largest threat to NSE's valuation is its very high reliance on the derivatives market. In FY26, a staggering 60.22% of total operating revenue was derived specifically from the options business. SEBI has openly raised concerns over the rapid growth of ultra-short-term, expiry-day index options, classifying them as speculative hazards for retail investors.

SEBI has already demonstrated its willingness to intervene. Pursuant to strict circulars issued in October 2024 and May 2025, SEBI mandated the upfront collection of option premiums, increased minimum contract sizes, and restricted permissible weekly expiries. These interventions successfully curbed retail speculation but consequently resulted in a direct moderation of trading volumes and a noticeable decline in NSE's equity derivatives ADTV (Average Daily Trading Volume) and trading revenues in FY26. If SEBI implements further position limits or higher margin requirements, NSE's primary revenue source could face severe, permanent contraction.

10.2 Extreme Intermediary Concentration Risk

While NSE boasts over 129 million registered investors, its actual revenue source is shockingly highly concentrated. In FY26, NSE derived 46.78% of its operating revenue from just its top ten trading members (the major retail and institutional brokers).

If a top-tier broker faces a major tech/software failure, or if SEBI imposes an operational restriction on a leading discount broker due to compliance failures, NSE would instantly suffer a blow that will disturb its half revenue flow.

10.3 Technological Fragility and "Disincentive" Fines

Processing up to 21.89 billion messages a day means NSE's IT infrastructure operates under immense stress, heavily reliant on third-party software vendors. In the modern high-frequency trading era, a server glitch or cyber-attack is not only reputational but it is an immediate financial liability. Under SEBI's 2021 Standard Operating Procedure for technical glitches, Market Infrastructure Institutions (MIIs) face strict "Financial Disincentives." Even minor disruptions in matching engines or clearing software could subject NSE to heavy regulatory fines, show-cause notices, and administrative warnings.

10.4 Subsidiary Cash Burn and Market Cyclicality

While the core exchange is highly profitable, NSE is actively burning cash on unproven strategic growth. The company has invested ₹7,500 million (₹750 crores) into NSEIX in GIFT City and another ₹2,500 million (₹250 crores) into the NSE IFSC Clearing Corporation. Currently, these subsidiaries along with NSE Administration and NAL Academy are incurring sustained losses. (Notably, NSE Infotech Services had to be voluntarily liquidated in late 2024/2025).

Furthermore, NSE's non-trading revenues (like listing and book-building fees) are entirely dependent on continuous bull-market conditions. If the macro-economic growth cools and IPO fund mobilization slows up due to less liquidity, NSE's listing revenues will drop with its core trading volumes, exposing the deep cyclicality dependency of the business.

(₹ in million)

Sr. No.	Name of the Subsidiary	Fiscals 2026	Fiscal 2025	Fiscal 2024
1.	NSE IFSC Limited	94.86	85.57	(303.29)
2.	NAL Academy Limited (*formerly known as NSE Academy Limited*)	31.03	(163.14)	(121.08)
3.	NSE Administration and Supervision Limited	15.16	(65.26)[1]	N.A.
4.	NSE IFSC Clearing Corporation Limited	13.45	(51.34)	(83.96)
5.	NSEIX Global Access IFSC Limited	(6.72)	N.A. [3]	N.A. [3]
6.	NSE Sustainability Ratings and Analytics Limited	(25.97)	(19.07)	N.A. [2]
7.	NSE Foundation	(124.74)	126.18	(132.63)

Notes:

(1) NSE Administration and Supervision Limited was incorporated on January 9, 2024, As per the Companies Act, 2013, the first financial year of NSE Administration and Supervision Limited is Fiscal 2025. The financials for the period January 9, 2024, to March 31, 2024, are included in the financials for the period ended March 31, 2025. Hence, Fiscal 2025 data includes financial information for the fifteen-month period ending March 31, 2025.

(2) The financial information for NSE Sustainability Ratings and Analytics Limited is not available since the entity was incorporated on March 30, 2024, hence there are no corresponding figures for Fiscal 2024 and its first financial year, in accordance with the Companies Act, 2013, is Fiscal 2025.

(3) The financial information for NSEIX Global Access IFSC Limited is not available since the entity was incorporated on September 2, 2025.

Source- https://www.nseindia.com/static/investor-relations/offer-documents

10.5 Foreign Capital Ceilings

An artificial ceiling exists on NSE's valuation. Under Indian law, foreign investors are subject to strict investment restrictions regarding domestic stock exchanges. This regulatory cap limits NSE's ability to attract unlimited foreign institutional capital post-listing, potentially choking the secondary market demand required to drive the equity share price significantly higher after the initial IPO pop.

11. Final Recommendation

The National Stock Exchange (NSE) IPO represents a rare opportunity to purchase a stake in the absolute backbone of India's macroeconomic growth story. However, determining whether to

participate requires a strict alignment of your investment horizon. We are not issuing a blanket "Buy" rating; instead, the risk-to-reward ratio splits depending on your strategy.

11.1 Risky for Short-Term Listing Gains

For retail and HNI investors looking to deploy capital purely for a listing day gains, participating in this IPO is highly risky. This is a 100% Offer for Sale (OFS) of up to 14.89 crore shares, representing the largest public issue in Indian history. The sheer volume of floating supply hitting the secondary market on Day 1 will be massive. Absorbing that much liquidity makes a very high listing gain highly improbable. If we assume listing gains touching BSE's P/E it will be still 11.8% gain and in extreme case the gains will be not be that large and for investors who bought unlisted shares, they should know that they have 6 month lock in period so there are very high chances that all the listing gains are gone by 6 month thus effectively giving them null or negative returns.

11.2 Growth is tied to NSE's strategic execution

Furthermore, at an expected valuation of ~42x P/E, the market has already fully priced in NSE's current near-monopoly in cash equities and derivatives with future cash flows accounted for. Therefore, future price growth is no longer tied to simply "doing more of the same." The stock's future compounding will be entirely tied to how successfully management executes its strategic pivots: navigating SEBI's F&O regulations, scaling recurring data and index licensing revenues, and NSEIX in gift city execution.

11.3 SUBSCRIBE (Strictly for the Long Term)

If, however, you view this not as a trade but as a multi-year investment, our recommendation is that you could go for SUBSCRIPTION. NSE operates as a highly profitable toll-bridge that sits directly at the center of India's growth story and wealth transfer from safe assets to the stock market. For institutional and retail investors with a multi year horizon and will not liquidate their positions, locking in NSE shares during this IPO allows you to participate in growth of the Indian capital markets, supported by a huge balance sheet and a highly lucrative dividend yield. The returns will be dependent on India's growth itself and the company's own management and strategic skills.